

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME
SEMESTER – VI – UNIVERSITY EXAMINATION, MAY 2018
BM336 – COMPENSATION MANAGEMENT

Date: 04/05/2018, Friday

Time: 1.30 PM to 02.00 PM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions: This includes questions of the following types:

15

A) Match the Following:

[6]

Q. No.:		Probable Answer Keys		Write Your Answer Here
(i)	Pay received in the form of wages and salaries	a)	Direct Compensation	(i)
(ii)	It includes benefits, leaves, retirement plans, education, and employee services	b)	Non-financial compensation	(ii)
(iii)	It refers to career development, advancement opportunities, opportunities for recognition, work environment and conditions	c)	Indirect financial compensation	(iii)
(iv)	Minimum Wage	d)	Statutory Benefits	(iv)
(v)	Employment Insurance	e)	Statutory Obligations	(v)
(vi)	It is a statutory benefit that provides temporary financial assistance for unemployed Canadians	f)	Employment Insurance	(vi)
		g)	Legal Compliance	
		h)	Compensation Practices	
		i)	Auditing	
		j)	Financial Assistance	

B) Multiple-Choice Questions**[3]**

(Note: Encircle the correct answer)

- vii.** These benefits are available to individuals who lose their jobs through no fault of their own
- a) Regular Benefits
 - b) Compensation Philosophy
 - c) Both (a) and (b)
 - d) None of these
- viii.** These benefits provide support to individuals who are pregnant, have recently given birth, are adopting a child, or are caring for a newborn.
- a) Maternal Benefits
 - b) Sickness Benefits
 - c) Both (a) and (b)
 - d) None of these
- ix.** These benefits are available to people who have to be away from work temporarily to provide care or support to a family member who is gravely ill with a significant risk of death.
- a) Compassionate care Benefits
 - b) Sickness Benefits
 - c) Regular Benefits
 - d) None of these

C) Fill-in the Blanks**[3]**

(You may choose from following answers.)

Wage & Salary Administration	Supplementary Compensation	Salary	Wages	Salary Administration	Incentives
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- x.** _____ refers to the establishment and implementation of sound policies and practices of employee compensation.
- xi.** _____ consists of incentive and variable payments, based on either individual output or output of the group as a whole.
- xii.** _____ refers to weekly or monthly rates paid to clerical, administrative and professional employees

D) True or False**[3]**

(Note: Encircle the correct answer)

- xiii.** Living Wage Associated with the maintenance of adequate standard of living.
(True) or (False)
- xiv.** Retain present employees is objective of Wage and Salary Administration.
(True) or (False)
- xv.** Fair Wage is above the minimum wage but below the living wage. (True) or (False)

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BBA PROGRAMME

SEMESTER – VI – UNIVERSITY EXAMINATION, MAY 2018

BM336 – COMPENSATION MANAGEMENT

Date: 04/05/2018, Friday

Time: 02.00 PM to 04.30 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions

(iv) Section – I should be answered in the given question paper which is to be submitted at the end of 30 minutes. Section – II should be answered in a separate answer book.

(v) Maximum time allotted for Section – I is 30 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION - II

Q.2 Non-compensation / Non-Monetary rewards are a way to acknowledge a staffer's accomplishments. These rewards serve as a motivational tool for employees, who like to be recognized for exceptional performance. Explain various types of Non-Monetary Rewards. **10**

OR

Q.2 The ABT Banking co. has decided to computerize as many of its operations as possible in order to increase efficiency and customer convenience. One of their first steps was to place automatic teller machines (ATMs) in different locations in the city. The bank also started a programme that expands on telephone banking by allowing the owners of personal computers to conduct virtually all of their banking business from their homes. These successes have caused the bank to consider use of microcomputers or terminals in the home of their employees and reduced the need for office and floor space at the main and branch office. It is clear that technology will stimulate many changes in the bank's current personnel practices as the relationship between work and the individual employee changes. The personnel manager has been asked to develop a compensation strategy internally aligned with pay structure. If you are a HR manager then What type of compensation strategy and pay structure you would have develop. **10**

Q.3 R.K Brewery limited produces four varieties of beer as well as mineral water. The company entered a collective agreement with the trade union in 2005 which would be in force for five years up to the end of 2010. There was a collective agreement with a fixed salary for a group of employees performing the same job. Mr. Vinod Michael joined R.K Brewery as chief HR manager in 2007. He analysed the agreement and felt that to enhance the productivity beyond the current level, performance based salaries with a base line should be adopted. The CEO accepted the idea reluctantly as the trade union may create problems. Mr. Vinod implemented the scheme in 2008. The scheme worked beyond expectation, as the productivity increased by 30% in addition to improvement in quality and delivery schedule. The salaries of 80% employees increased by 20% to 30% and surprisingly the membership of trade union declined to around 45% by 2009. In the view of expiry of collective agreement ,on 31st dec 2010 trade union requested management to arrange a collective bargaining meeting as they were worried for salary differential causing social problem among employees and their family members. Mr. Vinod discussed the issue with the ceo and senior level managers in a meeting. There were mixed arguments and responses in the meeting. Finally Mr. Vinod took a decision of implementing bargaining or negotiations with individual employees regarding salaries, benefits, working conditions and all other issues of HR. **10**

Discuss in details the preparation and procedure of Collective Bargaining for R. K Brewery Limited.

Q.4 Discuss briefly the principles for fixation of Wages and Salary determination process. **10**

- Q.5** What do you mean by compensation for Special Groups? What are the components of executive compensation package? Give reasons for high executive compensation. **10**
- Q.6** Large organizations often face the problem of a number resignation within a short span of time. It is not just limited to Information Technology Enabled Services (IES), sector such as retail, banking and automobiles have also witnessed large scale movement of people. It is a challenge for the human resource managers of these sectors to retain employees using innovative compensation design. Considerations such as internal pay equity, loyalty and commitment to the organization are often ignored by young executives. They prefer jobs that offer high compensation packages. With the entry of multinational companies (MNCs) and a positive economic growth, the problem of employee retention is of utmost concern to organizations in India. High salaries are now considered the only way to retain talent. **15**

Hemant Shukla was troubled while preparing the annual salary budget for his retail chain, India Retail. The company had presence in all the major metros. It has a 100 percent growth on year to year basis, making it a good pouching ground for other retail companies, which were also aggressive in their growth plans. Last year, 140 junior marketing executives left to join rival companies. The company has been at a loss to understand what went wrong as it offers competitive salaries and deferrals. The fixed variable ratio of salary was 50:50. Also earning the variables did not requires an employee to stretch, as the company has already achieved the brand identity. India Retail made the shopping experience so compelling that customers enjoyed visiting their stores again and again.

Hemant was a very innovative compensation administrator, and he designed compensation structure in such a flexible way that an employee could earn twice their average monthly salary, given some initiative in retaining customers. The company's stores were so arranged that each customer care executive (CCE) monitored counters with some common items. They were given training to educate customers about products and why they should buy it. Every CCE got a bonus point for repeat customer purchase. At the end of the year, based on the accumulated bonus points, these employees got surprise incentives.

Hemant's friend kushal worked for a big multinational company. Kushal advised Hemant to study the work culture and design a compensation package while considering the career development initiatives of employees the core advice was to opt for an organizational work culture survey and ensure that employees morale was high. For example, maruti Suzuki reduced the rate of attrition by identifying and grooming potential achievers. Maruti provided regular training to employees to help them to achieve personalized career graphs.

Another friend to Hemant, Ravikant, had a different story to tell. He advised Hemant not to bow down to employees' pressure for a pay rise. He suggested that employees who wanted to leave should be allowed to do so. Ravikant believed in deferrals. He advised Hemant to make deferrals attractive, and employees by default would continue. Ravi cited the case of Air India, which had a retention reward of thirteen months' salary at the completion of five years of service. Hemant was advised to focus on long term strategies.

Apart from this, Hemant learnt about signing non-competing clause with other companies to prevent employees from joining rivals. He learnt about Microsoft and GE, which rewarded top performers with increased compensation packages. He also thought of providing opportunities to employees 'interpreneurs' (managers or employees with entrepreneurial qualities).

- a). Design an effective compensation package to enable the retention of customer care executive at India Retail.
 - b). Design a strategic compensation policy for an IndiaRetail. Highlight the important areas of consideration for executive employees.
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